

Safeguarding Reconciliation Procedure

Key Information	Description
Procedure name	Safeguarding Reconciliation Procedure
Procedure Owner	Chief Operating Officer
Prepared By	Head of UK Compliance Business Operations Manager
Approved By	Risk Committee
Date Effective From	15 April 2024
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Review Frequency	Annual

Revision History

Version	Brief description of Update	Author (Role)	Approval (Role)	Date
V1.0	Initial Draft	UK Compliance Manager	Risk Committee	10 June 2022
V2.0	Updated procedures – reflecting changes to the Prefunding and reconciliation process	UK Compliance Manager	Risk Committee	12 Jan 2023

V2.1	Updated procedures – Updated to reflect new processes, primarily BACS unallocated funds and Modulr.	Head of UK Compliance Business Operations Manager	Risk Committee	13 July 2023
V2.2	Updated Procedures to reflect changes to the safeguarding reconciliation process	Business Operations Manager	Risk Committee	15 April 2024

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Related Documents

- NWC UK Customer Funds Protection Policy
- [Rota](#) - and links to process docs
- Internal transfer process - [Prefunding - Finance Process Notes:](#)
- Safeguarding - [Prefunding - Safeguarding Process](#)
- Manual reconciliation [Google Drive](#)

Systems and Tools

The primary systems and Tools used for completing Safeguarding Reconciliations are:

HSBC - Banking counterparty providing Safeguarding Account to NWC. HSBC is widely used by the NWC and is subject to Vendor Due Diligence with additional considerations which confirm its suitability as a Safeguarding Account provider.

Looker - Business intelligence and analytics software used widely by NWC. Used in safeguarding processes to collate and centralise internal and external data in one place to facilitate reconciliations.

MongoDb - Database storing the internal balance data and calculations for safeguarding processes. Used widely within the business for storing and calculating data for NWC.

Internal Transfer Tool - A tool owned and designed by NWC which is used for processing bank transfers between accounts.

GSuite - Used for the creation of reconciliations (Google Docs and PDFs) and for storing completed reconciliations (Google Drive). Gsuite products are a central system for NWC and are used widely for document creation and storage.

Monte Carlo - used for creating alerts showing discrepancies and reconciliation recording.

1. Purpose of the Safeguarding Reconciliation Procedure

As an E-Money Institution in the UK New-Wave-xxx-(NWC) is subject to the requirements set out in the FCA's Payment Services and Electronic Money Approach Document.

The purpose of the Safeguarding Reconciliation Procedure is to ensure that NWC's processes in meeting its Safeguarding obligations are clearly documented. The FCA's Approach Document establishes that NWC is required to maintain controls which allow for the identification and segregation of E-Money. These controls include:

- Completing reconciliations as often as necessary and as soon as reasonably practicable.
- Completing reconciliations which ensure the accuracy of its internal accounts against its external accounts.
- Retaining records that are sufficient to show and explain the method of internal reconciliation.
- Ensure that E-money is not commingled overnight.

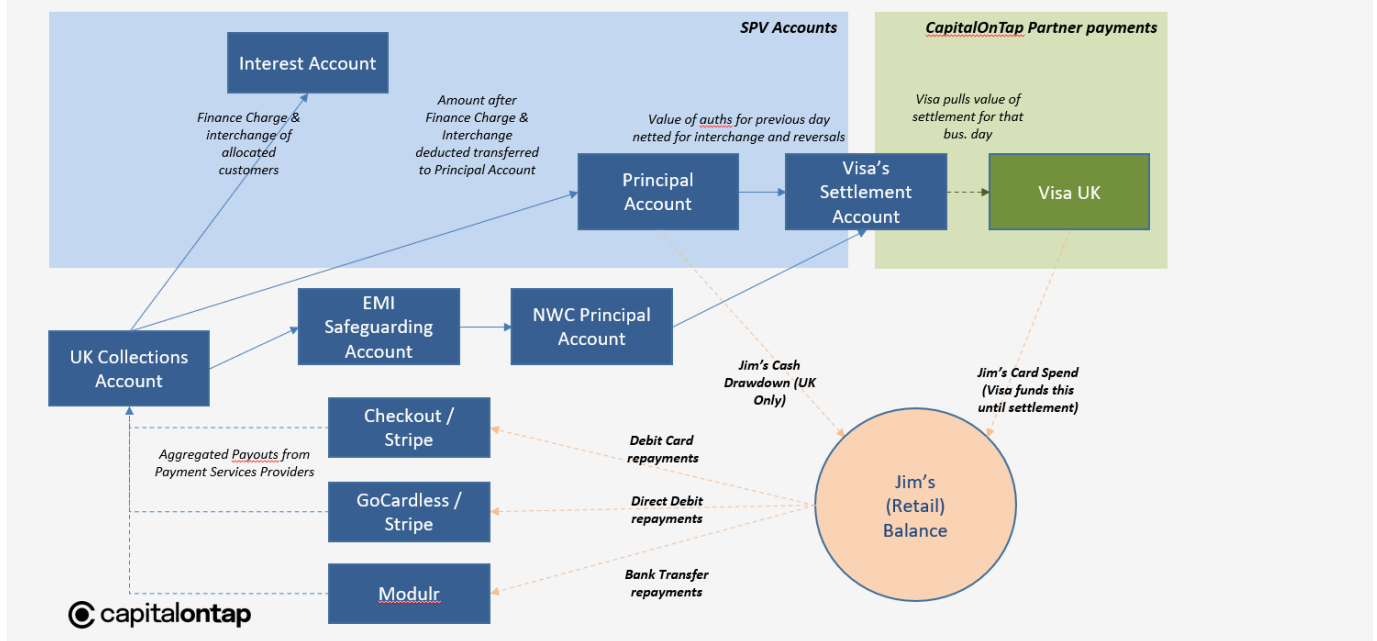
This document details the procedures by which, each business day, NWC identifies and allocates E-money to E-money Customer Accounts, subsequently moves funds identified as E-money to NWC's Safeguarding Account (at time of writing a safeguarding bank account with HSBC) and the method by which a permanent record of these reconciliations is retained.

2. Flow of Funds

The below diagram details the process by which funds are received from an E-money Customer and are subsequently moved either to the E-Money Safeguarding account or to the NWC Principal Account.

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Funds Flow - Prefunding



The majority of account balance adjustment instructions are received by Direct Debit, Debit Card or Bank Transfer (BACS) payments to a virtual bank account provided by a third party provider.

Payments made by these routes are applied immediately (generally within seconds of being made) to the customer's account balance and are available for use by the customer from the point of being applied (subject to NWC's fraud, anti-money laundering and spend rules).

Where these payments result in a positive balance on an E-Money Customer's account this positive balance is considered issued E-Money as defined by the EMRs and the FCA's Approach Document, at this point the positive balance also becomes subject to the safeguarding requirements and be identifiable by NWC's Safeguarding processes.

NWC's systems are set up to receive and automatically allocate these funds to the correct account.

NWC explicitly does not allow E-Money payments via Bank Transfer (BACS) outside of the use of its virtual bank account system at this time.

Payments by Bank Transfer will be applied to the customer accounts via a manual BACS upload (completed twice daily by the Finance Operations team) and then refunded to the customer.

3. Training

Current teams involved in completing the Reconciliations are:

Business Operations Team – Moves funds between the Safeguarding Account and NWC Principal Accounts.

Operations Team - Confirms end of day reconciliation report is complete.

Fincrime Team - Completes fincrime checks on E-money Customer Accounts.

Management - Provides oversight.

Finance Team – Provides assistance in moving funds between the Safeguarding account and NWC Principal accounts where needed. Resolves data issues with banking counterparty and looker.

IT – Provides assistance in the event of data issues between banking counterparty, NWCs internal database and looker.

All new members or staff who become involved in the e-money reconciliation process must be provided with the UK Customer Funds Protection Policy, this procedure document, the E-money Safeguarding Reconciliation Process, and must receive training from the current Finance and/or Operations representatives sufficient to ensure they can correctly complete the steps set out in the process as relevant to their role.

4. Performing Reconciliations

NWC uses the segregation method to meet its safeguarding obligations. Segregation is completed “as frequently as practicable throughout the day” and consists of identifying relevant funds and adjusting the balance of a Safeguarding Account to reflect the total relevant funds held.

An automated script is used to calculate the internal balance of e-money as the sum of all negative credit balances for customers on prefunding contracts. The results of this script are stored at customer level in our database 5 times per business day at the following times:

1. 8:30
2. 10:30
3. 12:30
4. 14:30
5. 16:30

Adjustments to the Safeguarding Account Balance are made on an ongoing basis to reflect the internal balances on an ongoing basis.

Output from the script, bank balance data and adjustments are saved automatically in Looker and Monte Carlo on an ongoing basis over the course of the day.

Between 17:00 and 18:00 each business day NWC performs an End of Day reconciliation to determine and document that the correct e-money balance is held in the Safeguarding Account. The reconciliation compares the 16:30 internal balances and the Safeguarding Account balance and is recorded in Monte Carlo as well as being sent via email and Slack to relevant stakeholders.

The automated report is prepared and sent via Monte Carlo to staff in the Safeguarding@capitalontap.com inbox. This forms a record of completed reconciliations.

In the event that a difference is identified between the internal balances and the Safeguarding Account balance a "Safeguarding Discrepancy – Manual Reconciliation" is completed in line with chapter 4. Resolving End of Day Discrepancies below.

In the event of no difference, the Operations Team will reply to the Monte Carlo email confirming the reconciliation is complete.

In completing this process staff ensure that relevant safeguarding balances on e-money customer accounts are identified and moved to the Safeguarding Account.

NWC's business hours are 09:00 to 17:00 on business days leaving one working hour between 17:00 and 18:00 to complete the reconciliation. A business day is taken to be the widely-accepted definition: any weekday from Monday to Friday, not falling on a public Bank Holiday in England.

Customers who have signed up to e-money services are moved onto a distinct Product Type (Preloading) to allow them to be identified.

5. Resolving End of Day Discrepancies

In the event of an End of Day Reconciliation showing a difference between the internal balance and the Safeguarding Account balance a 'Safeguarding Discrepancy – Manual Reconciliation' must be completed.

A Safeguarding Discrepancy – Manual Reconciliation should be titled as such, should show the date it relates to, and should identify which member of staff completed the reconciliation.

The reconciliation should consist of a summary of the issue causing the difference, a conclusion of whether the discrepancy was resolved or not, and evidence in the form of screenshots sufficient to demonstrate that the discrepancy has been resolved.

When complete this discrepancy should be saved in the Safeguarding Manual Reconciliations folder and forwarded to:

Chief Operating Officer
Chief Fraud and Compliance Officer
Head of UK Compliance
Business Operations Manager

During business hours as staff complete the [Prefunding - Operational Process](#), discrepancies between the total balances to be safeguarded and the Safeguarding Account Balance will be identified and resolved by moving funds from NWC's accounts to the Safeguarding Account or from the Safeguarding Account to NWC's accounts as appropriate.

On an ongoing basis, any failure to adhere to the processes must be reported to the Chief Fraud and Compliance Officer and the Chief Operating Officer and the Chief Financial Officer as soon as the issue is identified by whichever individual or team identifies the issue. The Chief Fraud and

Compliance Officer will determine if the issue requires further escalation to the FCA based on the nature of the failure.

6. Controls

- **Controls around the performance of reconciliations**

The automated reconciliation completed by Monte Carlo is emailed out to the Safeguarding email group, including the Operations Team Leads who have a daily task to email the Prefunding Stakeholders each business day by 18:00 confirming receipt, or not, of the reconciliation. All steps in this process are completed by 18:00.

- **Controls around how to resolve differences caused by internal system issues.**

In the event of differences caused by internal system issues, either throughout the day or at end of day, staff can access the latest Internal Balances stored within our database via a DBeaver Query.

If staff are unable to identify the balances that need to be safeguarded by 17:45 - for example, if there is an internal all system-outage - then staff complete the following contingency plan before the end of day at 18:00.

Identify the maximum end of day safeguardable balance over the last 7 calendar days. If this is greater than the current safeguarded amount, staff will top up the safeguarding account with the difference; or, if this is smaller, then we'll leave the safeguarding balance as it is. This approach has been chosen as it is more likely to overestimate than underestimate the safeguarding requirement, which best aligns with the purpose of the regulation 'to protect customer funds' (10.15).

- **Controls around the ongoing accuracy of manual reconciliations.**

NWC's E-Money activities, including Issuance and Safeguarding of E-Money and it's daily Reconciliation of the Safeguarding Account will form part of NWC's Compliance Monitoring Plan and will be reviewed by the Compliance team at least annually.

7. Record Keeping

A record of the internal balance and Safeguarding Account balance is automatically created five times each business day in a report. These reports are captured over the course of each business day in the form of pdf reports produced automatically from the "Prefunding Ops" Looker [Dashboard and are emailed to prefunding stakeholders.](#)

Reports are saved in the shared folder [Looker reports for PreFunding.](#)

Reports are generated at the following intervals:

1. 9:30
2. 11:30
3. 13:30
4. 15:30
5. 17:30
6. 18:00
7. 19:30

These reports allow an auditable record of safeguarding balances each business day and supplement the daily manual reconciliation process.

External References

Payment Services and Electronic Money – FCA Approach Document.
As amended November 2021

<https://www.fca.org.uk/publication/finalised-guidance/fca-approach-payment-services-electronic-money-2017.pdf>

The Electronic Money Regulations 2011

<https://www.legislation.gov.uk/uksi/2011/99/contents/made>

The Payment Services Regulations 2017

<https://www.legislation.gov.uk/uksi/2017/752/contents/made>

Appendix 1 – Definitions of Terms

E-Money - Positive balances held by E-Money Customer Accounts with NWC. Defined comprehensively by the FCA [here](#).

E-Money Customer Account - NWC customer's who have entered into an E-Money agreement with NWC. Positive balances relating to E-Money Customer Accounts will be treated as E-Money.

Safeguarding Account - Bank account with appropriate Safeguarding Agreements in place. Used to safeguard E-Money belonging to NWC's E-Money Customer Accounts. Currently held by HSBC.

NWC Principal Account - NWC's own account, funds owed to NWC are moved to the Principle account from either the Segregation account or the Safeguarding account as appropriate.

Relevant Funds - Any funds received for a NWC customer who has agreed an E-Money Contract which creates a positive balance (a negative credit balance) on the customer's account.

Business Day - Any weekday from Monday to Friday, not falling on a public Bank Holiday in England.